

Syndicate Project: M&A Thesis (a real-world M&A proposal)

Your syndicate assumes the role of the executive team of an ASX-listed company seeking M&A opportunities. Your mission is to identify an M&A target company, conduct a thorough deal analysis, and submit a full M&A proposal.

Project Requirement (8 Components)

1. Target screening

- Select a publicly listed company as the acquirer (i.e., your company).
- Define *specific* strategic objectives for pursuing an M&A deal.
- Identify up to three publicly listed companies as potential targets.
- Provide a short overview for both the acquirer and the potential targets.
- Select one target company that you plan to acquire; explain why you selected this target over others (e.g., strategic fit with your company).
 - Note that the target must have stock return data and the most recent fiscal year's financial statements available.

2. Target valuation using comparables/multiples

- Identify 3 or 4 publicly listed comparable companies that will be used as benchmarks of your chosen target.
- Justify your selection of comparable.
- Use EV/EBITDA and P/E multiples to estimate the total equity value of the target.
- Present a table to show your valuation inputs and conclusion.

3. Target valuation using DCF

- Calculate the historical Free Cash Flow to the Firm (FCFF) of the chosen target in the most recent fiscal year.
- Estimate the WACC.
- Use a simple two-stage DCF model to estimate the total firm value and total equity value of the target.
 - assume a near-term growth rate for FCFFs in the near term (e.g., up to 5 years)
 - assume a perpetual growth rate to estimate the terminal value.
- Clearly state your assumptions and provide justifications.

4. Synergy assessment

- Identify and describe potential synergies in the proposed deal (e.g., cost savings, cross-selling, etc).
- Assess the synergies based on the likelihood of realization and timeframe for realization.
- Decide which synergies should be considered when valuing the proposed M&A Deal.

- (Optional) Quantify the synergies in dollar terms, if feasible.

5. Due diligence plan

- Outline key diligence tasks specific to your proposed M&A deal.
- Analyze the quality of earnings: do recent financials reflect true profitability?
- Identify any intellectual property or intangible assets that need attention during due diligence.
- Identify any other hidden liabilities or issues that might affect the deal (e.g., some off-balance-sheet liabilities, regulatory concerns, and cultural concerns).

6. Offer price recommendation

- Assume that your company will acquire 100% of the target's equity. Provide a valuation range based on your valuation and synergy analysis.
- Recommend a specific initial offer price. Explain your recommendation.
- Present your valuation range and initial offer price in a "football field" figure.
- Discuss payment and financing options.

7. Post-merger integration (PMI) plan

- Appoint an integration manager: pick a leader from the acquirer's executive team and justify the choice.
- Define 1-year and 2-year integration objectives over the four dimensions: financial, operational, strategic, and organizational.
- Discuss what aspects need to be integrated: operations, HR, IT, salesforce, supply chain, etc.
- List anticipated challenges and rank them by likelihood and severity.
- Provide a timeline (e.g., in a Gantt-style chart) for integration milestones and propose metrics for tracking the progress.

8. AI and Other analysis

- A brief disclosure of how AI was used and how outputs were validated is required.
- Include any additional insights or analyses you believe are relevant and valuable to the deal.

Requirements

1. Written Report (10 to 15 pages excluding appendices)
 - Executive summary.
 - You are expected to write the proposal as if presenting it to your company's board of directors or M&A committee.
 - No page limits on appendices.
2. Deadline: submit your file(s) by 5 pm on June 17 on Canvas.
3. Accepted format: pdf, Word (.docx), and/or Excel (.xlsx).
4. AI rule: Students may use AI tools in their M&A syndicate project, but only as support for their own analysis. Any AI-generated content must be verified for accuracy using reliable sources, and students remain fully responsible for errors. A brief disclosure of how AI was used and how outputs were validated is required.

Rubrics (to be used as a guideline only; project scores may also be affected by the relative ranking of syndicates):

Component	Points	Exceeds Expectations	Meets Expectations	Needs Improvement
1. Target screening	12.5	Clear, specific strategic objectives; strong rationale for target choice	Logical but basic strategic fit; some rationale provided	Weak or missing strategic rationale; unclear target selection
2. Comparables /multiples	15	Strong comparables set; well-conducted multiples analysis; professional table and clear analysis	Appropriate comparables with minor justification issues; reasonable calculations	Inappropriate peers; unclear or inaccurate valuation
3. DCF	15	Thorough, well-justified DCF with realistic assumptions and sensitivity analysis	Basic DCF with reasonable assumptions, some details missing	Weak logic or unjustified assumptions; errors in model
4. Synergy assessment	15	Clearly defined and prioritized specific synergies with quantification	Synergies identified and explained; limited quantification or prioritization	Vague or missing synergies; no link to valuation
5. Due diligence plan	12.5	Comprehensive and deal-specific DD plan, thoughtful risk discussion	Covers most areas; general but acceptable analysis	Lacks depth; generic DD
6. Offer price recommendation	5	Well-supported offer based on multiple analyses; strong visual and rationale	Reasonable price recommendation with minor issues	Arbitrary or unsupported offer; missing visuals
7. Post-merger Integration plan	15	Structured, specific, and actionable PMI with risks, timeline, and metrics clearly defined	PMI covers key areas with some structure; basic planning	Vague, generic, or underdeveloped PMI; lacks structure
8. Quality of other analysis; report structure & quality	10	Clear, persuasive, polished, and boardroom-ready; in-depth analysis overall	Readable and organized; some polish needed	Disorganized, unclear, or hard to follow